

Budget Announcements Regarding Electronics Sector

Electronic items	BCD (before amendment)	BCD (after budget)	Vide	Effective date of implementation
Inputs, parts or sub-parts for manufacture of specified parts of mobile phones, including PCBA, camera module, connectors, wired headset, USB cable, microphone and receiver etc	Nil	2.5%	3/2011-Customs	1.04.2021
PCBA and moulded plastic for manufacture of charger or adapter	10%	15%	3/2021	1.04.2021
Inputs and parts [other than PCBA and moulded plastic] of mobile charger	Nil	10%	3/2021	1.04.2021
Inputs, parts and sub-parts [other than PCBA and Li- ion cell] for manufacture of lithium-ion battery and battery pack	Nil	2.5%	3/2021	1.04.2021
Compressor of refrigerator/air-conditioner	12.5%	15%	Clause 95 (i) of the Finance Bill, 2021	1.02.2021
Specific parts of transformer such as bobbins, brackets, wires, etc	Nil	7.5%	4/2021	1.02.2021
Inputs and parts of LED lights or fixtures including LED lamps	5%	10%	Clause 95 (i) of Finance Bill, 2021	1.02.2021
Solar inverters	5%	20%	03/2021-Customs	1.02.2021
Solar lanterns or solar lamps	5%	15%		1.02.2021
All goods under HSC 7325, 7326, 7307, 7308, 7310, other than SIM socket/other mechanical items (metal) for cellular mobile phone	Nil	10%	1/2011-Customs	1.02.2021
Apparatus, control gear and transmission equipment and auxiliary equipment (including those required for testing and quality control) and components required for the initial setting up of a solar power generation project	Nil	Applicable as per custom tariff	1/2011-Customs	1.02.2021
All parts for use in the manufacture of LED lights, fixtures including LED lamps, LED drivers and MCPCB of LED lights	5	10	2/2021	
All goods falling under heading 8544 (except USB cable and goods falling under tariff item 8544 30 00 and sub-heading 8544 70) will attract 10% BCD	5% - 7.5%	10	3/2021	1.04.2021
Mobile Phone Parts, such as battery cover, front cover, front cover with zinc casting, middle cover, side key, screw, microphone rubber case, sensor rubber case/sealing gasket including sealing gaskets/cases from rubbers like SBR, EPDM, CR, CS, silicon and all other individual rubbers or combination of rubbers, PU case/ sealing gasket, articles of polyurethane foam like sealing gaskets/ case, sealing gaskets/cases from PE, PP, EPS, PC and all other individual polymers or combinations of polymers, SIM sockets/other mechanical items (metal), SIM sockets/other mechanical items (plastic), back cover, conductive cloth, heat dissipation sticker battery cover, sticker battery slot, protective film for main lens, LCD conductive foam, LCD foam, BT foam, key pad	Nil	Applicable as per custom tariff	3/2021	1.04.2021
All goods used for the manufacture of base stations for mobile communication infrastructure	Nil	2.5%	3/2021	1.04.2021

(Source: ELCINA)

the automobile industry, starting with lockdowns, still continues to hover as black clouds over production facilities.

“During and post the lockdown, international supply chains were severely impacted, and due to high import dependence, domestic manufacturing of electronic items declined sharply. Equipment manufacturers have realised the perils of excessive dependence on foreign sourcing and are trying to develop domestic suppliers to overcome uncertainty associated with imports. This has given a fillip to domestic manufacturers of components and also to EMS companies which focus on PCBAs. ELCINA believes that this momentum should sustain, and government schemes must support strengthening of domestic manufacturers, increase value addition, and create a self-sustaining value chain,” noted Paresh Vasani, president, ELCINA.

In addition to this 2.5 percent basic customs duty, custom tariffs are also being announced for battery covers, front covers, middle covers, side keys, screws, microphone rubber cases, sensor rubber cases/sealing gaskets, including sealing gaskets/cases of rubbers like SBR, EPDM, CR, CS, silicon, and all other individual rubbers or combination of rubbers, PU cases/sealing gaskets, articles of polyurethane foam like sealing gaskets/cases, sealing gaskets/cases from PE, PP, EPS, PC and all other individual polymers or combinations of polymers, SIM sockets/other mechanical items (metal), SIM sockets/other mechanical items (plastic), back covers, conductive cloth, heat dissipation sticker battery covers, sticker battery slots, protective film for main lens, LCD conductive foam, LCD foam, BT foam, key pad.

“Domestic electronic manufacturing has grown rapidly. We are now

exporting items like mobiles and chargers. For greater domestic value addition, we are withdrawing a few exemptions on parts of chargers and sub-parts of mobiles. Further, some parts of mobiles will move from ‘nil’ rate to a moderate 2.5 percent,” the finance minister said during her Budget speech.

LED lights: India is one of the biggest markets

India aims to cut its power requirements by switching to more efficient electronics. This can be gauged from the simple fact that Energy Efficiency Services Limited (EESL) has so far distributed approximately 360 million bulbs across India. The institution has also installed more than 11 million LED streetlights. EESL recently informed that the domestic market of LED lights in the country has exceeded 1.15 billion LEDs.